Question: Subsequent events and impact on audit report

You are the audit manager on the audit of the financial statements of Fairview Bank Ltd ('Fairview') for the year ended 31 March 2X19. Following completion of the year-end audit fieldwork, you are reviewing the list of subsequent events prepared by Fairview's finance director.

Fairview is a small independent retail bank and investment house, whose customers comprise small to medium size companies and high-earning professional individuals. The bank operates from a branch in Birmingham, but attracts worldwide clients. It has full banking licences and has been trading successfully for five years.

Your audit partner has reviewed the list of subsequent events and has added additional comments as necessary (Appendix 1). She has asked you evaluate whether or not these are adjusting events and to consider what additional audit evidence, if any, would be required for each of these matters. She has also asked you to analyse the impact on the audit report, should the additional audit evidence not be obtained and to recommend the appropriate type of audit opinion to be issued.

Questions

1. Evaluate the subsequent event, concluding whether or not it would be an adjusting event

(12 marks)

2. Consider what, if any, additional audit evidence would be required

(14 marks)

3. (i) analyse the impact on the audit report if the issue were not satisfactorily resolved; and
   (ii) recommend the appropriate type of audit opinion to be issued.

(12 marks)

Appendix – List of subsequent events provided by finance director of Fairview

Note: Materiality has been set at £2.2 million and trivial threshold at £110,000 for audit purposes

1. **Post year-end takeover**

On 10 June 2X19, the board announced that it had completed a takeover of Hi-Bank Investments ('Hi-Bank'), a credit union based in the Scottish Highlands. The board first discussed the takeover in May and takeover talks were completed on 10 June 2X19.

Audit partner comments:

There was no previous indication of this potential deal during the year-end audit. We have reviewed the recent year-end financial statements for Hi-Bank. The post takeover assets of Fairview will increase by 70%.

2. **Staff bonus accrual**

The year-end staff bonus accrual of £1 million included in the year-end financial statements was calculated based on the budgeted results for the financial year-end. Actual bonuses of £1.25 million have now been agreed by the board and paid to staff. Following the successful performance of the bank, the bonuses paid were greater than those accrued.

The board feels there will be little benefit in reflecting the actual paid figure in the year-end financial statements and would like to maintain the accrued balance at 31 March 2X19 which was based on budgeted results.

Audit partner comments:

We must assess the value of the bonuses paid and assess the level compared to the accrual made.

3. **Financial Conduct Authority investigation**

The Financial Conduct Authority ('FCA') commenced an investigation of Fairview in October 2X17. The investigation stemmed from complaints to the regulatory authorities of 'overly robust selling techniques' for loans to a specialised area of the bank's customers.

For the financial year-end 31 March 2X18, a preliminary accrual was made of £2.75 million which represented £1.8 million for fines and £0.95 million for anticipated compensation costs.

With the full cooperation of Fairview staff, the investigation was recently concluded and the FCA issued a report of their findings on 1 June 2019. Fairview accept the allegations and will be fined by the FCA and will have to pay compensation to each customer affected. The FCA report estimates the total costs that Fairview will have to pay will be in the region of £5 million.

Audit partner comments:

From discussions with the board, it is keen not to increase this provision. With the conclusion of the FCA investigation and report now published it is time to finalise figures. Whilst the amounts being considered are considerable, it will not be significant enough to affect the going concern of the business.

4. **Environmental, Social and Governance ('ESG') – ethical banking**

Fairview has recognised that its current and potential customers are concerned with the bank's ethical policy on trading and its contribution to the wider community. Post year-end, the board of directors ('the board') engaged an external consultant to examine Fairview's current ESG practices and suggest changes that it should implement. This report was not available during the year-end audit but became available this week.

Fairview have added these suggestions to their sustainability report within the annual report.

Audit partner comments:

We must consider the consistency of information presented in the financial statements and other sections of the annual report.